



Deutsche Bank
Research

APAC Industrials:

Foreign shareholding quarterly watch – 2Q26: Sequential improvements led by Hengli and Shuanghuan

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2Q26: Sequential improvements led by Hengli and Shuanghuan



In this quarterly series, we provide an overview of the foreign shareholding of the eight A-share names under our APAC Automation & Industrials coverage.

Summary:

The foreign shareholding of the eight A-share names in our coverage averaged 7.5% in 2Q26, showing an improvement of +0.8ppt sequentially vs 1Q26.

Upward movements:

- **Hengli** (+3.7ppt QoQ to 12.8% in 2Q26) recorded a significant increase of +3.7ppt in foreign shareholding in 2Q26, and has experienced sequentially higher foreign shareholding since 4Q25. The ratio has recovered to 12.8% by end of 2Q26, close to its peak level of ~14% observed in mid-2023.
- **Shuanghuan** (+2.1ppt QoQ to 11.6% in 2Q26) saw foreign shareholding rise by +2.1ppt in 2Q26, after two consecutive quarters of declines.
- **Inovance** (+0.9ppt QoQ to 19.6% in 2Q26) remained the most owned name among our coverage by foreign investors via Stock Connect, having overtaken Shuanghuan in 3Q25. The shareholding has risen for two consecutive quarters after reaching its recent low in 2Q25.
- **Estun** (+0.8ppt QoQ to 3.1% in 2Q26) showed an improvement in foreign shareholding in 2Q26. However, the shareholding remained low at 3.1%, significantly below its peak of over 25% in 2Q22.
- **Leaderdrive** (+0.1ppt to 5.1% in 2Q26) demonstrated broadly stable foreign shareholding in 2Q26, following consistent increases since 1Q25.

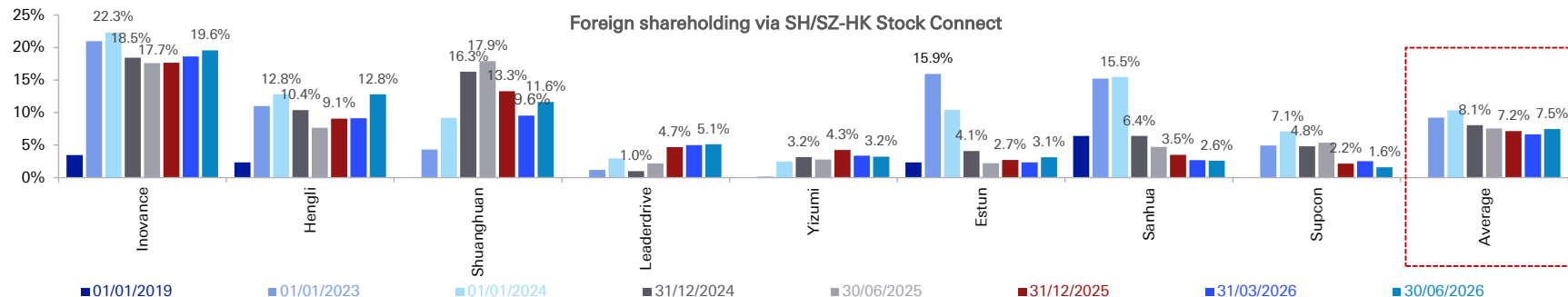
Downward movements:

- **Supcon** (-0.9ppt QoQ to 1.6% in 2Q26) suffered -0.9ppt lower foreign shareholding in 2Q26. The shareholding has been contracting since 3Q23.
- **Sanhua** (-0.1ppt QoQ to 2.6% in 2Q26) has been broadly on a downward trend since reaching its peak of ~25% in 2Q22. However, the decline was narrowing with foreign shareholding only -0.1ppt lower sequentially in 2Q26.

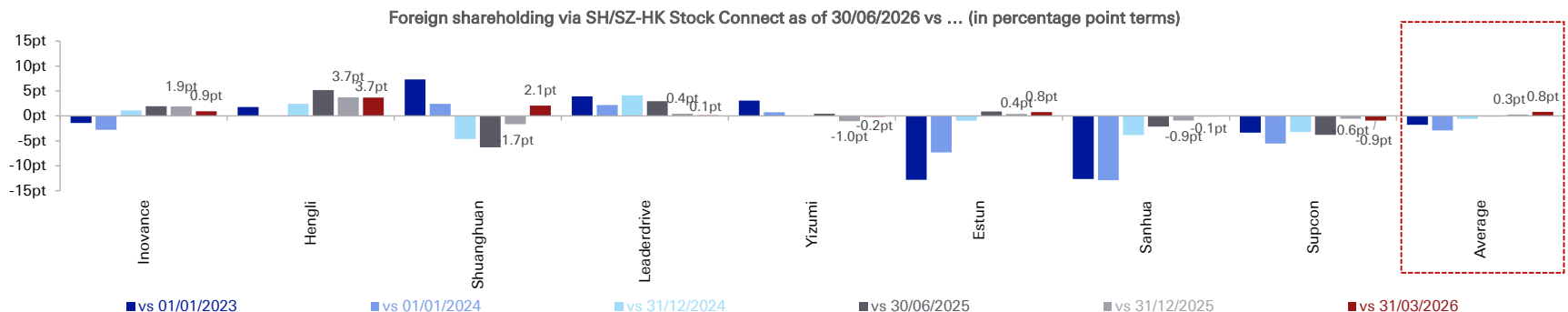
Foreign shareholding via Stock Connect over time



Foreign shareholding via Stock Connect saw improvements in 2Q26, especially for Hengli and Shuanghuan



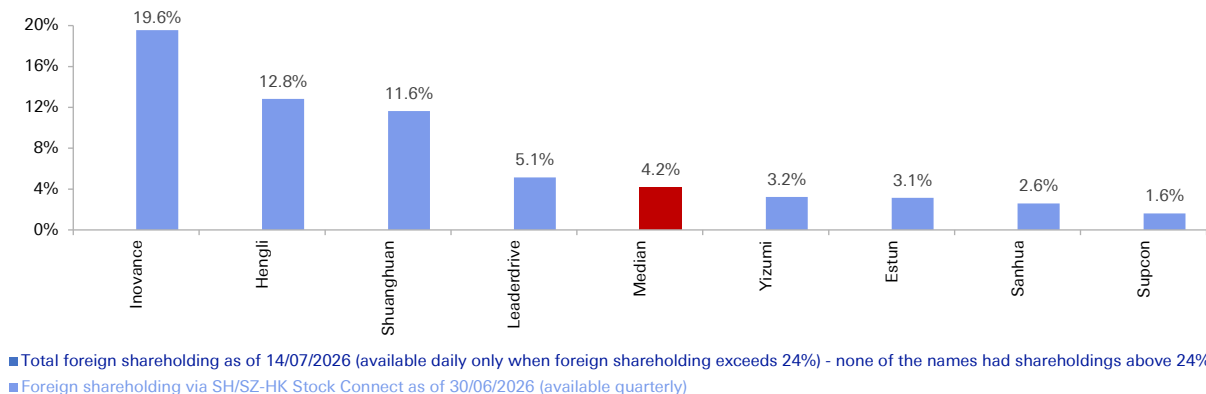
Hengli and Shuanghuan recorded +3.7ppt and +2.1ppt QoQ increase in foreign shareholding in 2Q26



Inovance has remained the most-owned by foreign investors since 3Q25



As of end of 2Q26, Inovance remained the most-owned by foreign investors via Stock Connect with holdings of 19.6%; Supcon still the least-owned

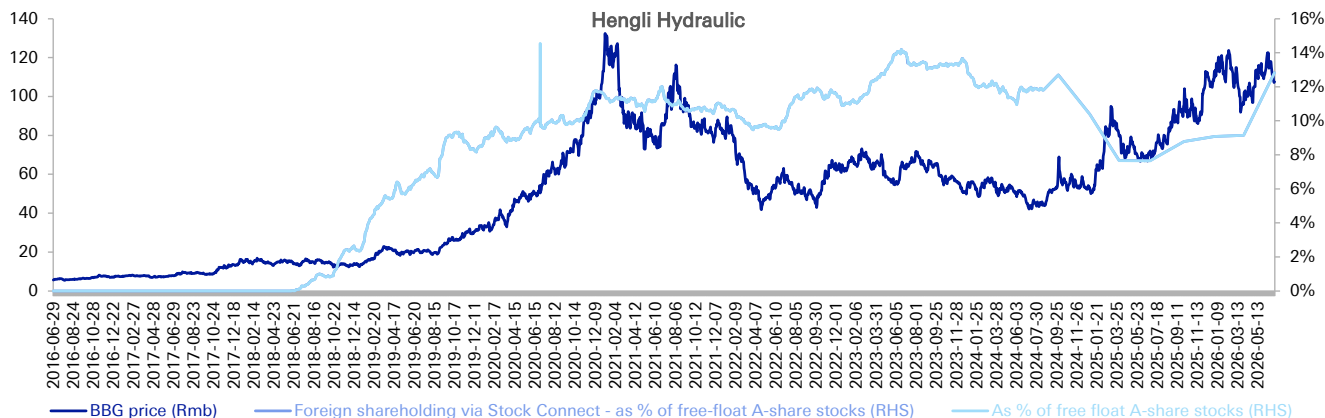
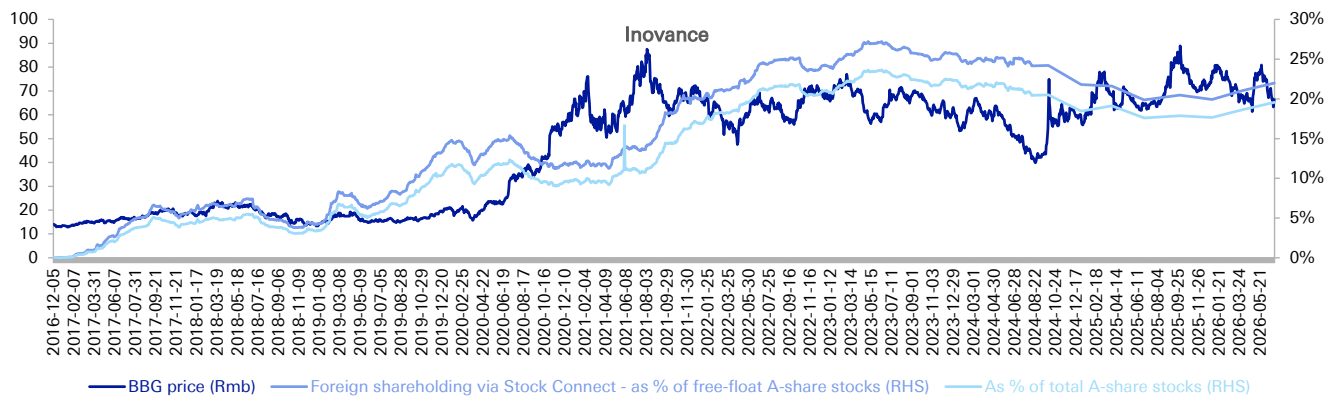


Background of the foreign shareholding data:

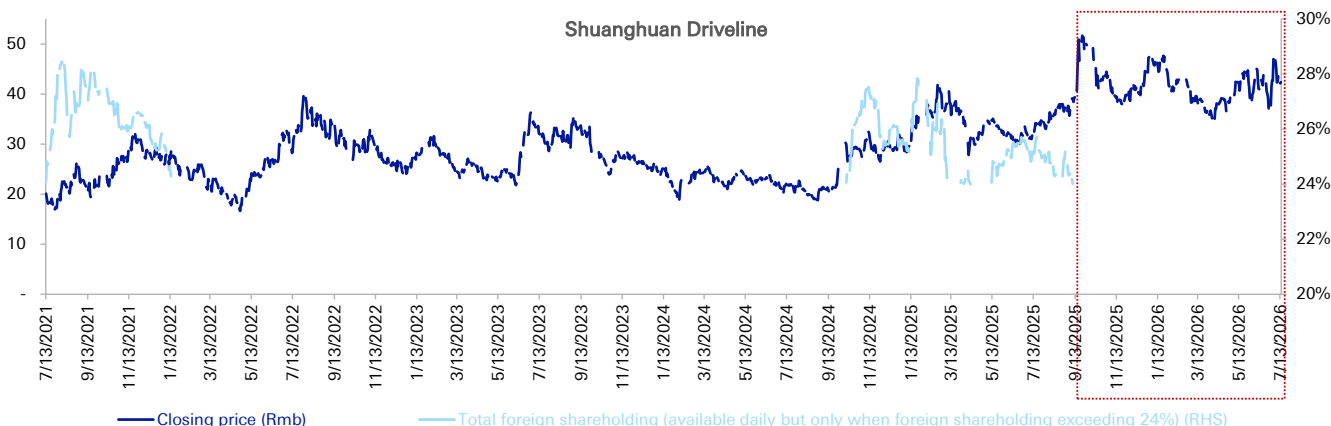
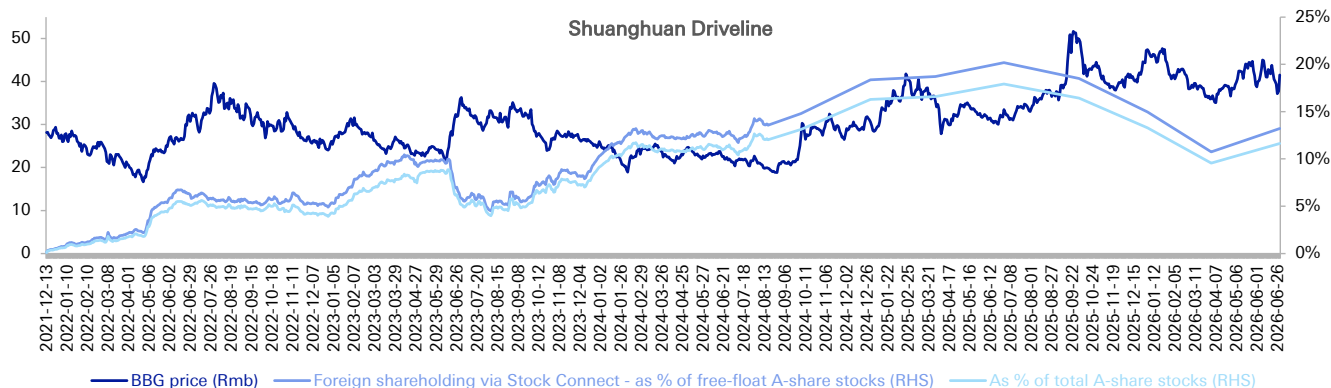
Foreign shareholding via Shanghai-/Shenzhen-Hong Kong Stock Connect is **available on a quarterly basis** since the regulatory change in August 2024 (was available on a daily basis before). The latest quarterly data was as of 30/06/2026, and the next quarterly data as of 30/09/2026 will be available in early October 2026. The exception is that, if foreign shareholding exceeds 24% of total shares of a company, the data becomes available on a daily basis.

- Total foreign shareholding refers to shares held by overseas investors including Qualified Foreign Institutional Investor (QFII), RMB Qualified Foreign Institutional Investor (RQFII), Shanghai/Shenzhen-Hong Kong Stock Connect, Cross-Border Conversion Agency for Global Depository Receipts (GDR) and Depository of GDRs.
- Since 19 August 2024, disclosure frequency of shareholding via Shanghai/Shenzhen-Hong Kong Stock Connect has been adjusted from daily to quarterly (the fifth trading day of each quarter).
- The Shanghai and the Shenzhen Stock Exchange requires daily disclosure of total foreign shareholding once it exceeds 24% of total shares of the companies. Total foreign shareholding is not allowed to exceed 30%.

Foreign shareholding via Stock Connect over time: Inovance & Hengli

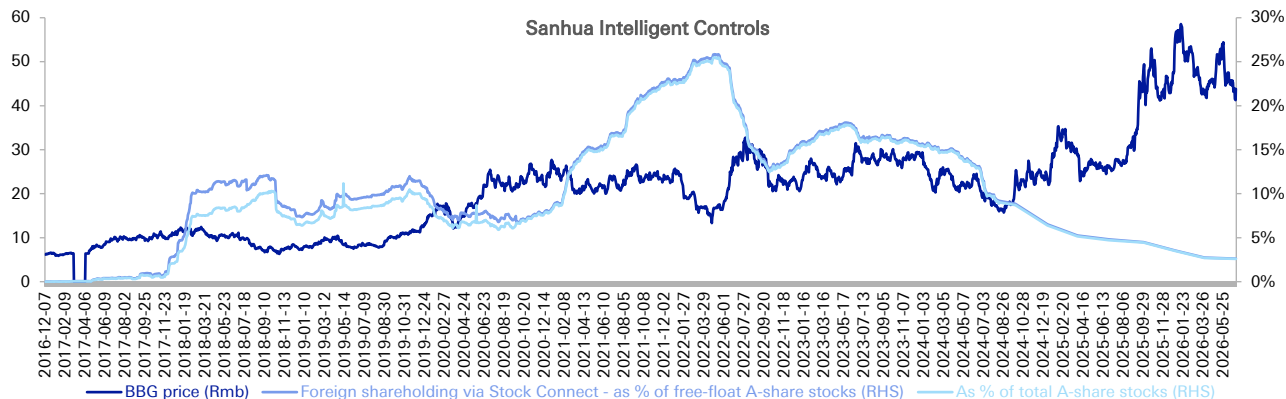


Foreign shareholding via Stock Connect over time: Shuanghuan

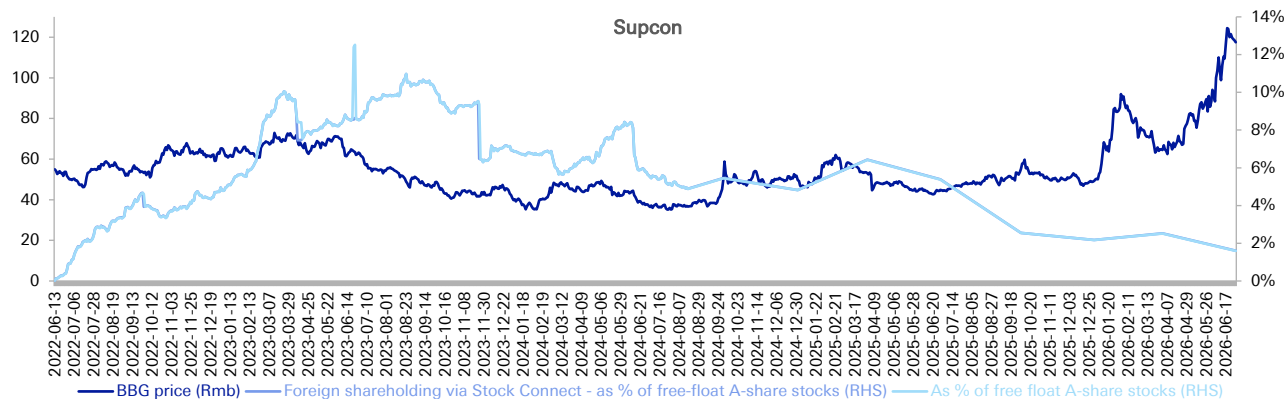


**Total foreign shareholding of Shuanghuan dropped to below 24% since 10 September 2025. Hence, the daily disclosure has discontinued"*

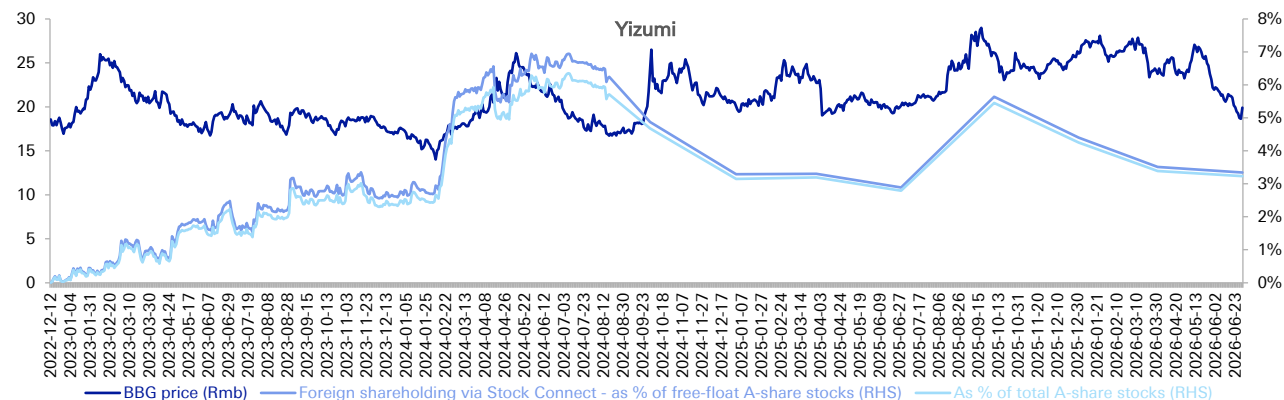
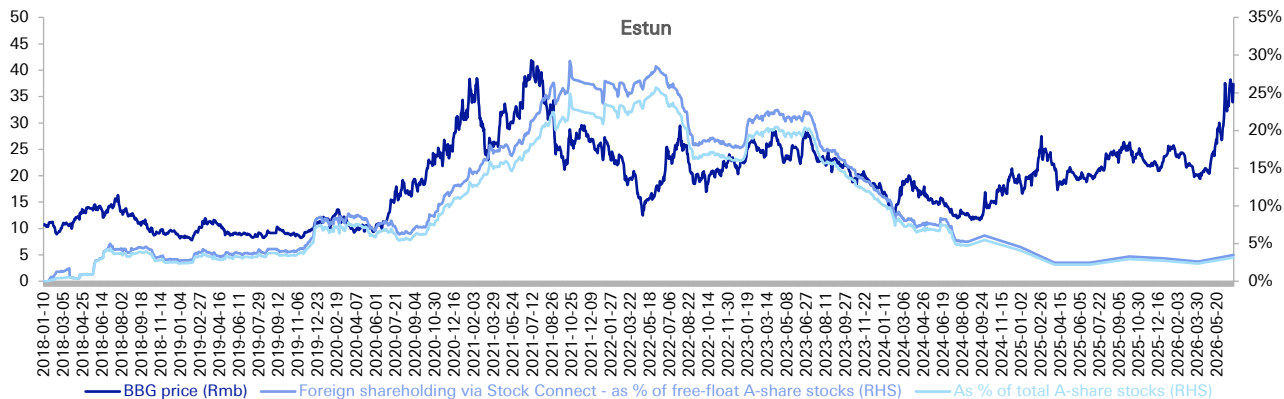
Foreign shareholding via Stock Connect over time: Sanhua & Supcon



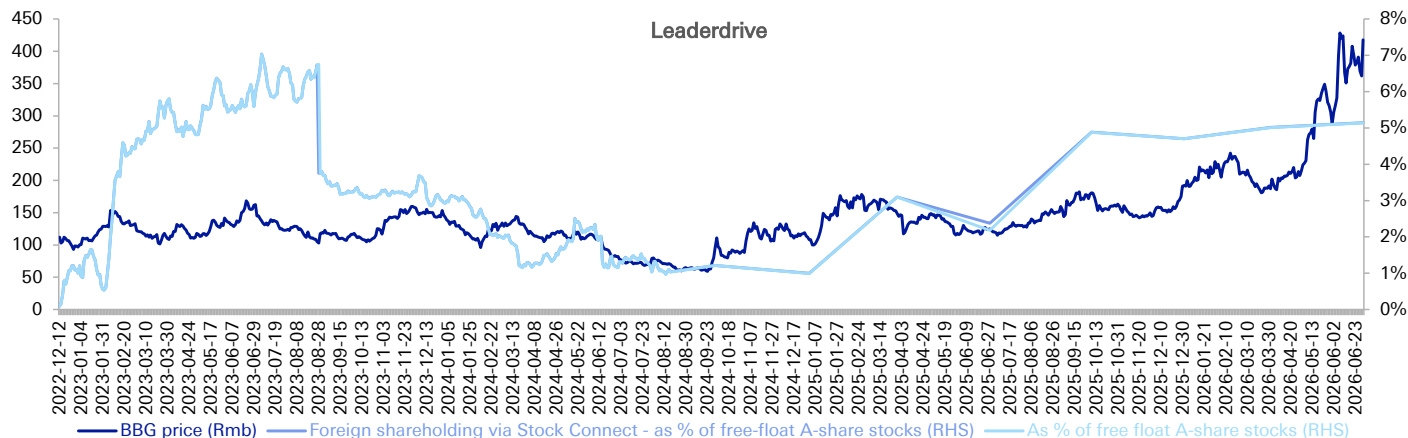
**Sanhua has been dual-listed in both Mainland China and Hong Kong since 23 June 2025.*



Foreign shareholding via Stock Connect over time: Estun & Yizumi



Foreign shareholding via Stock Connect over time: Leaderdrive



Appendix 1

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*Other information available upon request

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